

Angola's Second Act

Oil, the Lobito Corridor, and the US-China Competition for Africa's Atlantic Coast

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Executive Summary

Angola is sub-Saharan Africa's second-largest oil exporter and a long-standing OPEC member whose political economy has been shaped, and distorted, by petroleum revenues across four decades of single-party MPLA rule. The ruling party's grip on state institutions, the national oil apparatus, and the post-civil-war reconstruction programme consolidated a narrow elite at the apex of an otherwise impoverished society. The structural exposure to oil price cycles has repeatedly destabilised the kwanza, strained foreign currency reserves, and exposed the limits of a state whose fiscal base is overwhelmingly dependent on a single commodity. Angola has articulated diversification ambitions in successive strategy documents, but structural transformation remains aspirational rather than achieved. Geopolitically, Angola occupies an important node in the US-China competition for African alignment, and Beijing's deep infrastructure financing has created both development assets and debt overhang that constrain Luanda's policy space.

I. MPLA Political Economy: Four Decades of Personalised Power

1. Angola's modern political economy was defined by the presidency of José Eduardo dos Santos, who held power from 1979 — making him one of Africa's longest-ruling leaders when he finally announced his intention to step down in 2016. CNA[2016-03-11]
 2. Dos Santos governed through a tight, personalised network in which Angola's oil-backed economic boom and the reconstruction of infrastructure devastated by a 27-year civil war — which ended only in 2002 — were channelled preferentially toward a political and family elite. Critics accused him of mismanaging Angola's oil wealth and making an elite, mainly his family and political allies, vastly rich in a country ranked among the world's most corrupt. CNA[2016-03-11]
 3. The transition of power was itself contested. When dos Santos confirmed in February 2017 that he would not contest the presidential election due in August of that year, opponents remained suspicious given that he had previously reneged on similar undertakings. Crucially, dos Santos announced that he would retain control of the MPLA as party leader even after vacating the presidency, preserving his network's institutional leverage. CNA[2017-02-04]
 4. Angola's classification by the V-Dem Democracy Report as an electoral autocracy reflects the continuity of this political model into the post-dos Santos era. Electoral autocracies of this type have been noted for expanding their shares of the global economy while maintaining concentrated political control, limiting the accountability mechanisms that would otherwise discipline resource management and anti-corruption enforcement. [RAG: GOVERNANCE_RAG — V-Dem Democracy Report 2022-2024]
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II. Oil Dependency, Fiscal Vulnerability, and the Kwanza Crisis

5. Angola is an OPEC member and has consistently ranked as Africa's second-largest oil exporter after Nigeria. Its membership in the organisation places it alongside Algeria, Equatorial Guinea, Gabon, Nigeria, and other African producers within a cartel framework that shapes its production ceilings and revenue expectations. [RAG: LNG_ENERGY_RAG — EIA International Energy Outlook 2017]

6. The structural fragility of this oil dependency was exposed with acute severity during the 2014-2016 commodity price collapse. Angola was hit hard by the slump in global crude prices, with fiscal revenues contracting sharply in line with export earnings. CNA[2016-03-11]

7. The currency dimension of this vulnerability became visible in November 2015 when Bank of America announced it would stop supplying US dollars to Angola at the end of that month — a decision that piled pressure on the kwanza and underscored how tightly Angola's hard currency access was linked to oil export receipts. The withdrawal of dollar supply threatened the foreign exchange pipeline that the Angolan economy depended on for imports and debt servicing. CNA[2015-11-27]

8. The pandemic oil price shock revisited the same dynamic. A 50 per cent decline in oil prices during the COVID-19 pandemic contracted revenues and depleted foreign currency reserves in oil-exporting countries, with Angola explicitly identified as a country where energy accounts for an overwhelming share of the economy and where such shocks pose a considerable threat to fiscal and macroeconomic stability. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

9. The OPEC World Oil Outlook 2025 notes that a number of sub-Saharan African countries are experiencing evolving production trajectories, situating Angola within a broader regional picture where upstream investment decisions and field maturity will determine medium-term output and thus state revenue capacity. [RAG: OIL_ENERGY_RAG — OPEC World Oil Outlook 2025]

III. Diversification Strategy: Ambition versus Structural Constraint

10. Angola has formally articulated diversification ambitions in successive policy frameworks, including its 2025 Strategy and the 2018-2022 Sector Development Plan, which the UNEP Emissions Gap Report identifies as evidence that Angola has sought to diversify exports beyond hydrocarbons. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

11. These fossil-fuel-dependent low-income countries, of which Angola is a named example, face a common set of structural barriers to diversification: fuel price volatility that makes planning horizons unstable, a risk of locking into stranded assets as the global energy transition accelerates, and a lack of affordable finance for non-extractive sectors. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

12. The African natural gas production base represents a partial hedge on oil dependence. EIA projections within the IEO2016 Reference case showed Africa's natural gas output expanding substantially between 2012 and 2040, with West African producers — a grouping that includes Angola — positioned to take a growing share of continental output. However, this represents an extension of extractive dependence into a second fossil fuel rather than structural transformation into manufacturing, agriculture, or services. [RAG: LNG_ENERGY_RAG — EIA International Energy Outlook 2016]

IV. China, the United States, and Angola's Geopolitical Positioning

13. Angola has been a focal point of Chinese engagement with Africa since at least 2014, when Premier Li Keqiang included Luanda in his first Africa tour alongside Ethiopia, Nigeria, and Kenya, seeking to

consolidate a deepening economic relationship. Angola's oil was a natural anchor for Chinese financing interest. CNA[2014-05-05]

14. China's Africa strategy scaled substantially in the decade that followed. At the 2024 China-Africa Summit, President Xi Jinping announced US\$51 billion in fresh financing for the continent, with a portion to be denominated in yuan as part of Beijing's push to internationalise the renminbi. The announcement included pledges of employment creation and reinforced China's positioning as the primary external infrastructure financier across sub-Saharan Africa, a role in which Angola has been a significant beneficiary. CNA[2024-09-05]

15. Analysts have identified that African countries — Angola among them — are positioned to exploit the rivalry between the United States and China to advance their own interests, with both superpowers competing for continental influence. This strategic triangulation has been noted in the context of major infrastructure projects, debt renegotiations, and diplomatic positioning at multilateral forums. CNA[2022-12-14]

16. The governance dimension of external financing matters for Angola in particular. The IMF has consistently linked governance reform to lending conditionality, and IMF frameworks explicitly position "promoting good governance" as a prerequisite for sustainable debt management and economic reform. Angola's track record of elite capture and corruption creates friction with these conditionality frameworks, complicating the country's access to multilateral credit on reform-linked terms. [RAG: GOVERNANCE_RAG — IMF governance framework documentation]

Outlook

Angola enters the second half of the 2020s with an economic model that has survived repeated oil price shocks through fiscal adjustment and currency depreciation but has not achieved the structural transformation its own strategy documents envision. The MPLA's political dominance — a continuity that predates independence in its organisational form — constrains the accountability and institutional quality that genuine diversification requires. External financing from China provides infrastructure capital but at the cost of debt obligations that constrain fiscal space. Western engagement, including US strategic interest in Africa, offers an alternative pole of alignment, but one conditioned on governance standards that the post-dos Santos leadership has been slow to fully embrace.

The medium-term trajectory will be determined by three variables: the pace of field maturation in Angola's offshore oil portfolio, the credibility and implementation depth of diversification sector plans beyond the 2025 Strategy, and the degree to which the Lourenço government's anti-corruption framing translates into durable institutional reform rather than elite realignment within the same MPLA network structure.

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